Creating and Delivering Operational Plans

Lesson 2

WESTON COLLEGE | Mindful Education

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Study Information and Tips

This Study Text replicates the video content for the lesson

Supplementary knowledge can also be found in the information sheets and text boxes that accompany the videos, as well as in the resources in the Insights section

Activities to help you consolidate your knowledge are deliberately delivered through practice questions and exercises found in the Test and Apply sections on the VLE. These help you to further build on your knowledge and apply the learning in a way that supports your assessment

You can use this Study Text to test your understanding of the learning content at the end of each lesson. It may also be helpful to refer to it when preparing for your assessments

We recommend that you also produce your own notes in addition to the Study Text. Research has shown that handwritten notes can be very effective for learning retention

If you decide to print this Study Text, set the layout to print 4 or 6 slides per page to save on paper and ink

Planning Techniques and Tools

Introducing analytical tools used to prepare the plan

Considering where stakeholders fit into the planning process

How managers prepare for potential obstacles in the plan's implementation

Preparing the Plan

An operational plan is not put together in one day – it's a 'process' that starts with the gathering and analysis of relevant information.

The goal of this 'preparation' is to establish how the plan's immediate context will affect its implementation.

For example, understanding the company's financial position may determine whether the plan has a realistic chance of success. And by studying the various factors that may impact the plan, the manager can mitigate the risks associated with it.

We'll now look at two popular tools that can be used to gain this information: SWOT analysis, and Cost Benefit Analysis.

SWOT Analysis

A SWOT analysis is a widely used diagnostic model which can help managers to understand the internal and external factors affecting their plans. SWOT is an acronym which stands for Strengths, Weaknesses, Opportunities and Threats.

The Strengths and Weaknesses are internal factors. These apply to the department in charge of the plan.

Opportunities and Threats are external factors – these potential influences exist outside the department.

As their names imply, Strengths and Opportunities are helpful to achieving plan objectives, while Weaknesses and Threats are harmful to them. A SWOT analysis is often visualised as a four part diagram, with each of these elements occupying one quadrant.

SWOT Analysis (cont.)

Strengths consist of what the department does well or what might set it apart – in other words, its USP. This category includes anything that could be considered an advantage: a highly skilled and motivated team, effective processes, or plentiful financial resources.

Weaknesses are areas of vulnerability which could block progress, and may need to be addressed. For example, the department may have an established process that isn't flexible enough to adapt to new needs.

SWOT Analysis (cont.)

Opportunities, on the other hand, consist of external trends that could directly affect the success of a plan – for example, new technologies that create better efficiency. These could also include opportunities to provide a new service, or collaborate with another area of the business.

Threats are also external and consist of anything that could potentially jeopardise the plan. These may include shortages of key materials, or budget cuts within the company.

SWOT Analysis (cont.)

Analysing these four elements can show what the balance of influences on the plan will look like. Ideally there would be a long list of Strengths and Opportunities, and a shorter list of Weaknesses and Threats.

The analysis should also help to establish connections between these factors. For instance, it could show how strengths open up opportunities, and how opportunities might eliminate threats. This might spur management to address some of the identified weaknesses – for example, by recruiting workers to fill a skills gap.

A SWOT analysis may create a number of possible directions for the plan. To help decide which is best, another tool might be useful: a Cost Benefit Analysis or CBA.

Cost Benefit Analysis

As its name suggests, this process can help a manager evaluate the expected costs and benefits of one path vs another. This can help determine whether the planned approach is feasible.

The CMI defines cost benefit analysis as a 'technique for comparing the tangible and intangible costs' of an approach 'with the resulting benefits.'

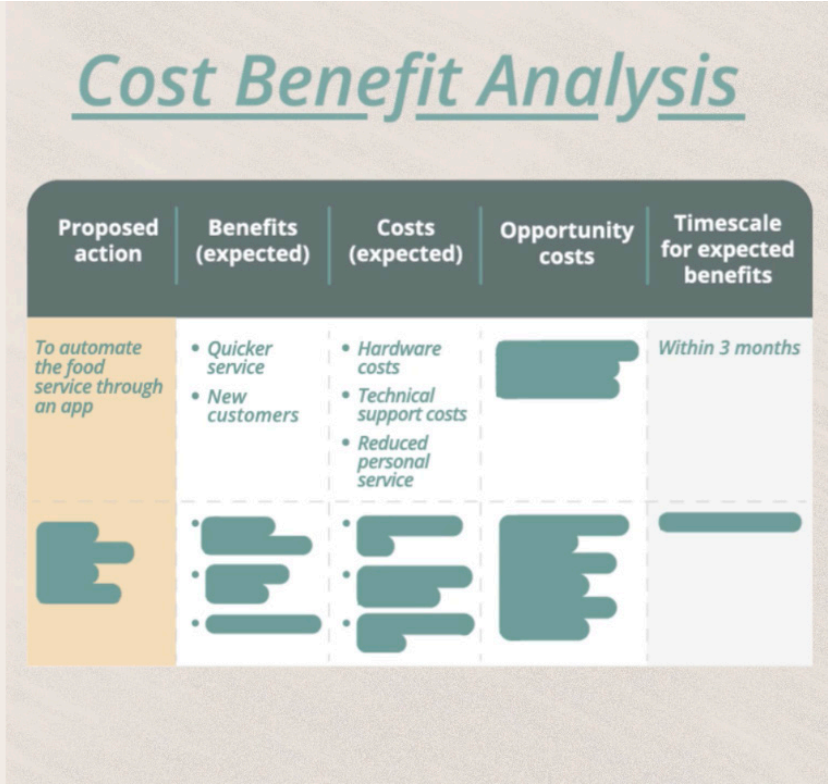
Tangible costs have a monetary value. These might include payment for labour and raw materials. Tangible benefits could consist of higher revenue, or money saved as a result of the approach.

Intangible costs are less defined; these could include reduced customer satisfaction or lower team morale. Conversely, intangible benefits could consist of increased customer loyalty and better team cohesion.

Cost Benefit Analysis – Example

For example, let's say a restaurant is considering whether to bring in a food ordering app, which will replace some servers.

The app will speed up the order process – a tangible benefit – and could attract a new, younger clientele. However, this will require upfront, tangible costs – for the app itself – and an intangible cost in the form of less personal service, which matters to some customers.

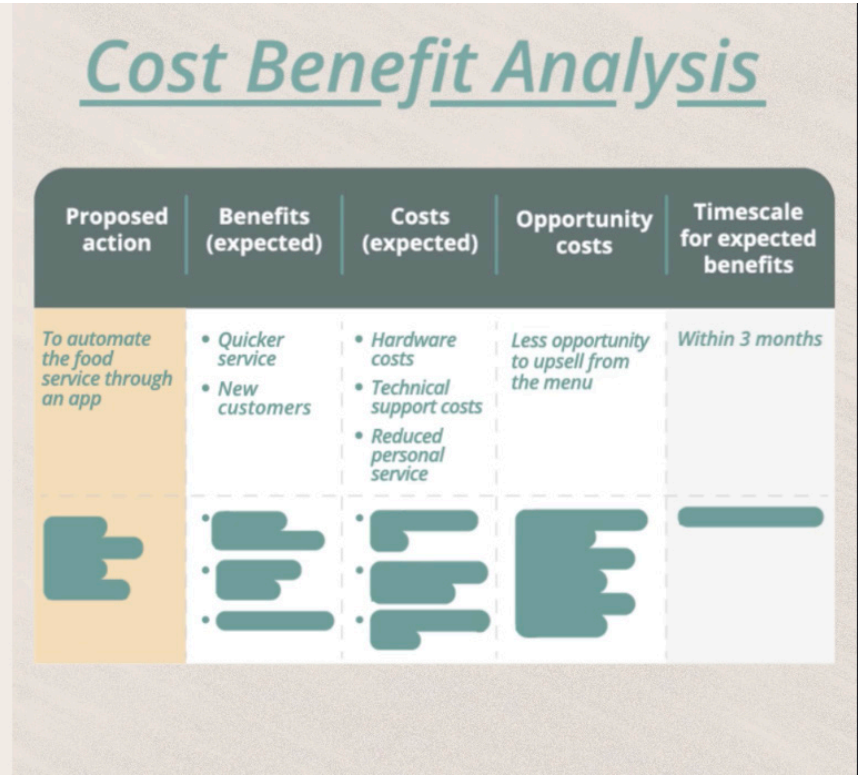


Cost Benefit Analysis – Example (cont.)

There's also a third category of cost, known as 'opportunity cost.'

This is 'the value of something that must be given up in order to acquire or achieve something else.'

So the app may create speedier service, but this will mean that the floor staff have less opportunity to upsell from the menu.



Opportunity Cost

For a manager, opportunity cost is a useful additional factor in weighing up the benefit of doing something against not doing it.

If the benefits outweigh the costs, then it would be rational to pursue the plan. If not, it should be reviewed to either increase the benefits or reduce the costs.

While the planning process is steered by the manager, it will require the input of many people with a stake in the plan and its outcome.

The Plan's Stakeholders

Part of the manager's job in the initial phase of operational planning is to identify who has a stake in the plan, both directly and indirectly.

These are the plan's 'stakeholders' – the people, groups and organisations that have a vested interest in the plan and its outcomes.

They may include senior managers, team members, and – depending on the plan – customers, suppliers or investors.

Reciprocal Relationships

In his influential stakeholder theory, the researcher R. Edward Freeman argued that to be successful, a business must actively nurture relationships with its stakeholders.

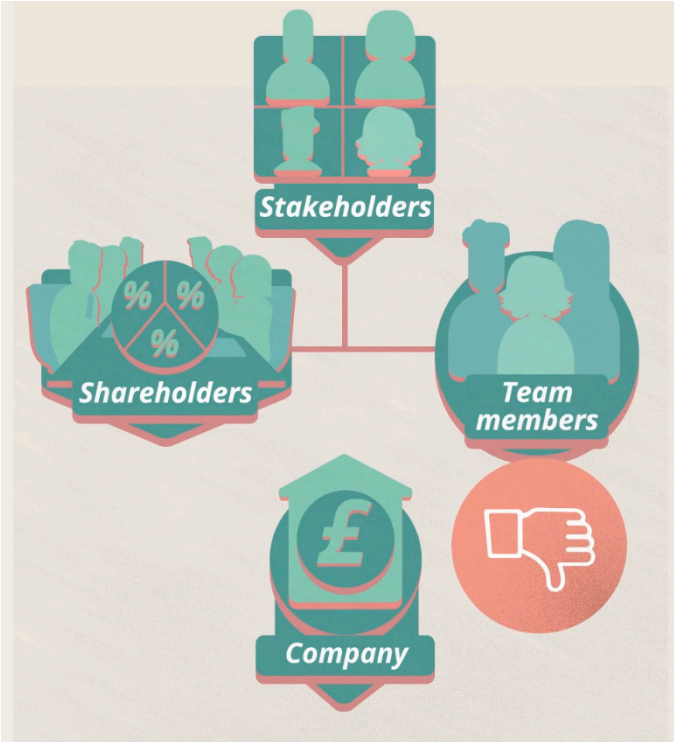
This is because a company's relationship with its stakeholders is 'reciprocal' – they provide critical skills and support to make the plan happen, and in return, they expect their 'needs and expectations' to be considered.

It's therefore essential for a manager to get to know the plan's stakeholders and what they value, to ensure their ongoing support.

Varying Stakes in the Plan

However, it's important to note that not all stakeholders will have an equal interest, or 'stake,' in the plan. And as academic David Boddy points out, meeting the expectations of one stakeholder group may mean sacrificing the interests of another.

For example, to remain competitive, a company may choose to either reduce prices or lower costs. Each of these options will impact different stakeholders. If it reduces prices, shareholders will be unhappy, because the company may end up with less revenue. However, if costs are reduced – for example, by lowering wages – then team members will be unhappy, and perhaps less productive.



Varying Stakes in the Plan (cont.)

Because not all stakeholder expectations can be satisfied, managers will need to make choices on whose needs to prioritise.

This decision has to take account of who has the most influence over the plan. Some stakeholders may have the power to block or advance it, and a manager needs to identify them and prioritise accordingly.

Power vs Interest

The researchers Colin Eden and Fran Ackermann developed a tool that helps managers understand the relative stake others have in their plans. It's known as the Power vs Interest Grid.

The model classifies stakeholders based on two criteria: their interest in the plan, and their power to affect it. Here, the term 'interest' may be defined as the level of importance a stakeholder attaches to the plan.

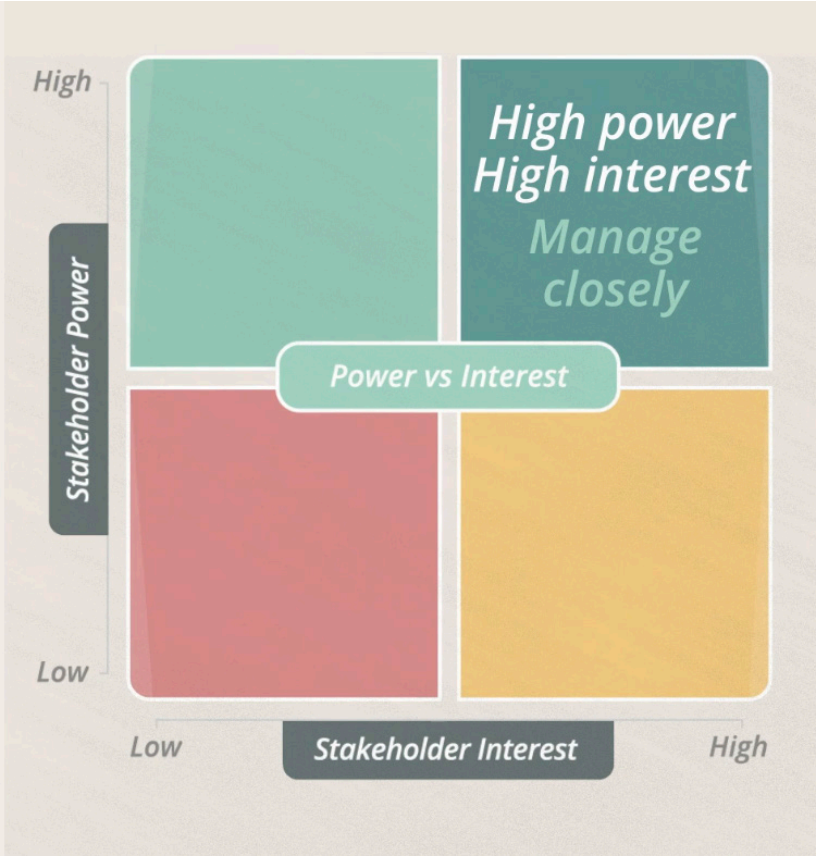
The grid sets these criteria across two axes, in a range from low to high. This forms four quadrants. The positioning of stakeholders in these quadrants indicates their level of influence, and the best way to approach them.

High Power, High Interest

In the top right quadrant are high-power, high interest stakeholders. These are also known as key stakeholders. The senior managers most directly connected with the plan will fall into this category.

They have a high stake in the plan and the authority to make changes to it – or even stop it from being implemented.

Key stakeholders should be managed closely and engaged on a regular basis to win or retain their support.

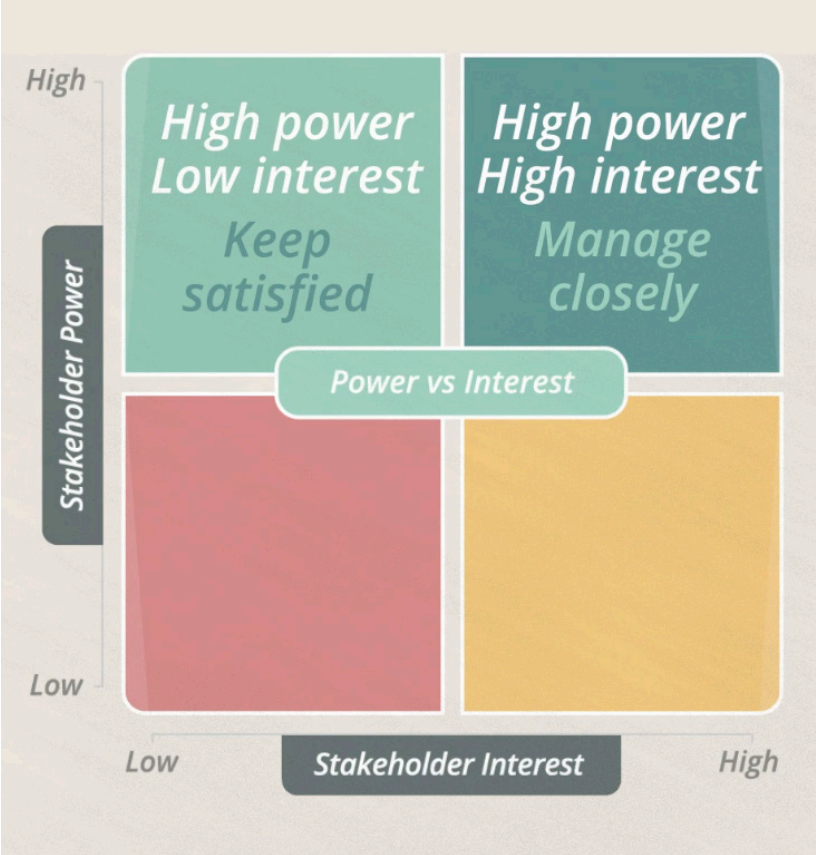


High Power, Low Interest

Not everyone who can exercise power will have a high personal stake in it. These people make up another important group: high-power, low interest stakeholders. They are located in the top left quadrant on the grid.

This category could include the wider senior management team and the company's shareholders. For many organisations, the government also fills this role, because it can influence the plan from afar by means of legislation.

The operational manager will need to make enough effort to keep these stakeholders satisfied. This means updating them on the progress of the plan, but not overloading them with information.

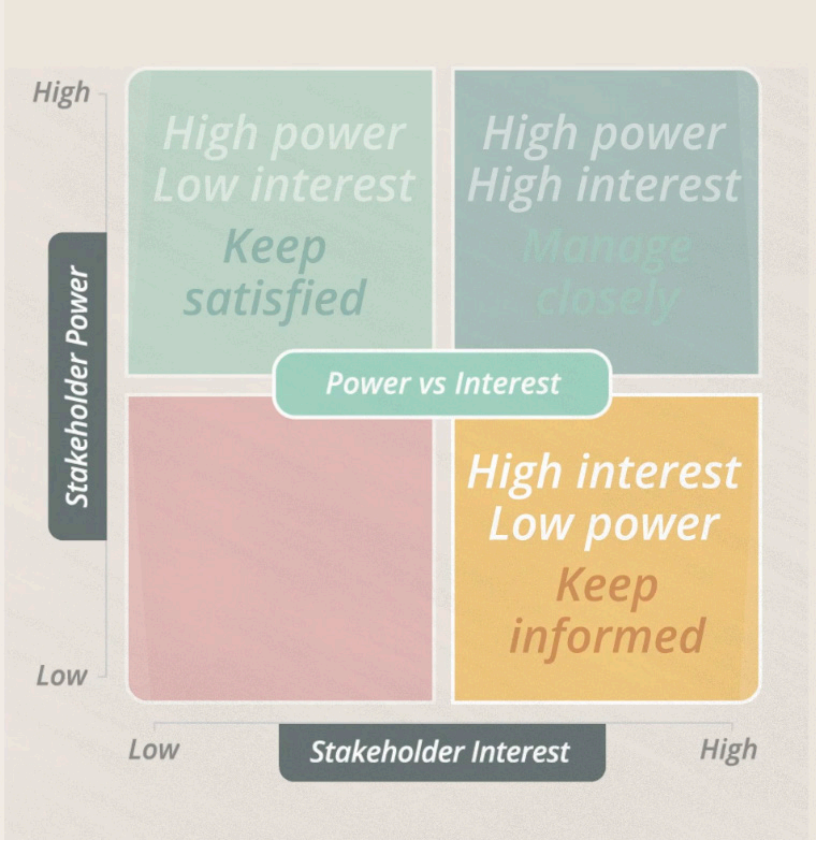


High Interest, Low Power

Some stakeholders do have a high stake in the plan, but less power to influence it. These ‘high interest, low power’ stakeholders occupy the bottom right hand corner of the grid.

The individual team members working on the plan would fit this category. Although managers won’t need to expend as much effort on them as the two top groups, they should be kept informed about changes to the direction of the plan.

This is partly for practical reasons, but also because the position of stakeholders is dynamic – they can gain power when they are promoted, or when they work collectively, so their influence over the plan may increase over time.

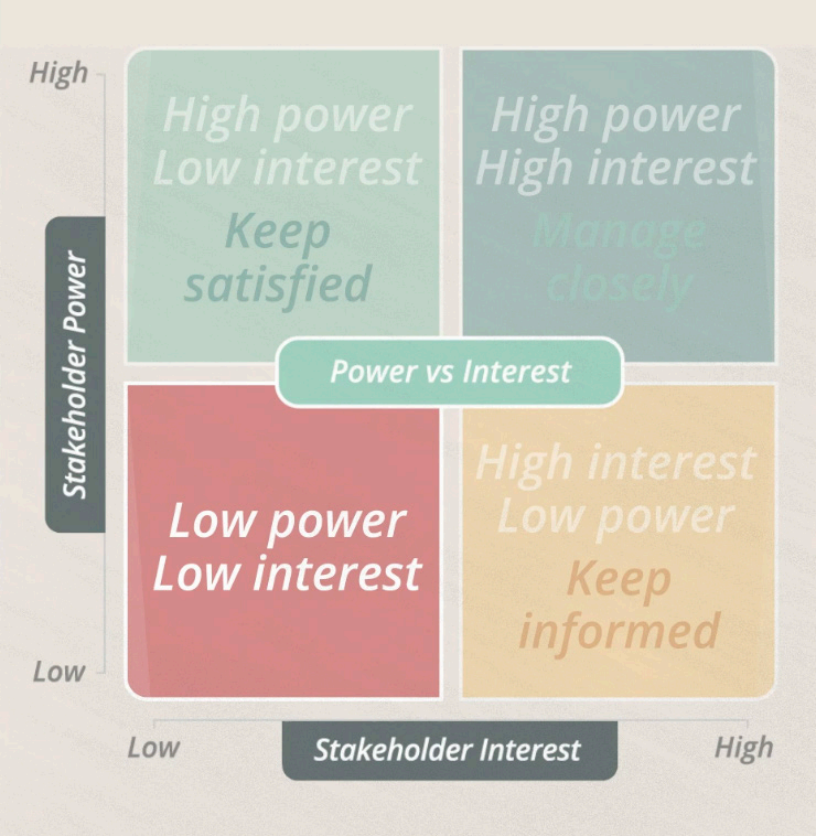


Low Interest, Low Power

Finally, in the bottom left quadrant are the low power, low interest stakeholders. These could include employees based in another part of the company, who are not directly affected by the plan.

Direct communication with them may not be necessary, but they should be monitored in case their roles in relation to the plan change.

Engaging stakeholders early in the planning process is vital to its ultimate success. Good stakeholder relationships – especially with high power stakeholders – can help keep the plan on track in the face of setbacks.



Supply Chains

So far we've seen that managers must analyse the internal and external factors affecting the operational plan, in order to ensure it is fit for purpose.

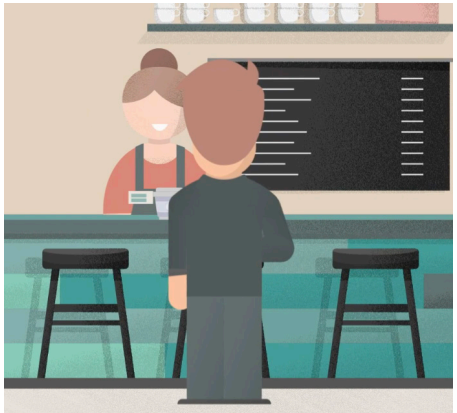
There is one more critical piece of analysis managers should perform before the plan is finalised. This has to do with how the plan fits into the ongoing activities of the department and company.

An analysis of this kind requires thinking about the organisation's 'supply chain.'

Supply Chains (cont.)

A supply chain is ‘a set of inter-connected operators’ that play a role in ‘the manufacture, distribution, and provision of a product or service to a final customer. The chain is made up of people, activities and resources – all the elements that get a product or service to its ultimate destination.

For example, when you stop off for an espresso on your way to work, you are the end point in a complex product supply chain. This starts when the beans in your coffee are harvested, continues when they are transported to a factory for blending, roasting and packaging, and ends when a trained barista transforms the beans into your morning brew.



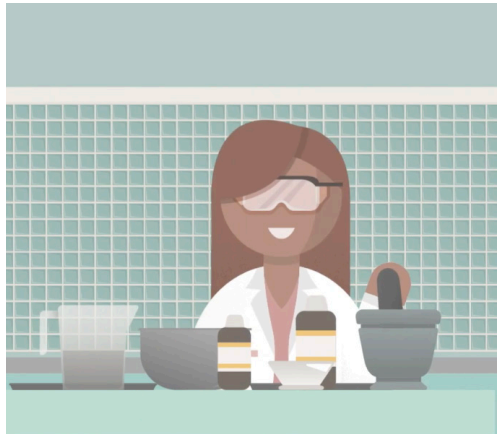
Supply Chains (cont.)

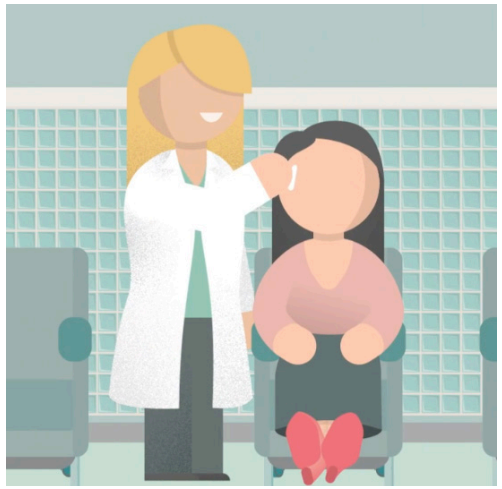
A service supply chain works in a similar fashion. For example, the chain for a spa treatment starts when the company purchases natural oils and extracts, continues when its product team mixes them into a recipe, and ends when the treatment is applied by a spa technician.

The importance of supply chains is summed up by academic William Stevenson, who says that they are ‘the lifeblood’ of any business organisation.

Operational managers will need to understand how these links affect, and are affected by, their plans.

Let’s see how this might work in practice.



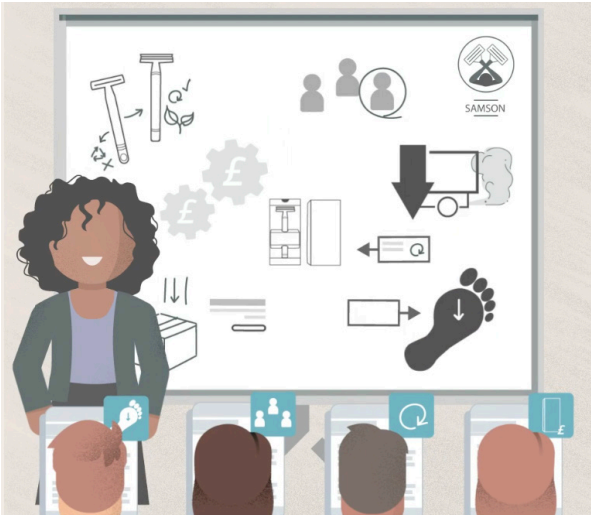


Supply Chains – Example

Erica oversees the distribution division at Samson, a men's grooming retailer. She is preparing her operational plan for the next 6 months.

One of the strategic aims for the company is to become more sustainable, which will involve the 'greening' of all operations within its supply chain. This will start with redesigning its products so that they reflect the company's new goals.

For Erica, this means creating a plan with multiple operational objectives. These will touch on all aspects of packaging and shipping, and include choosing new suppliers, reducing excess packaging, and lowering delivery vehicle pollution. Erica will break these down into smaller team and individual objectives and assign them to her team.



Supply Chains – Example (cont.)

However, she can't do this in isolation. The plan needs to align with the wider supply chain – the complete Samson retailing process. This means Erica has to be aware of what's happening throughout the process so that her part works smoothly within it.

For example, she'll need to ensure that there is ample packaging available when orders come in, which means choosing suppliers who can handle Samson's tight shipping deadlines and meet its new standards. She will also need to select the right size packaging to fit the redesigned products without excess waste; this will help support more efficient delivery.

Value Chains

Each of the activities involved in the supply chain should bring value to the process. The value is determined by the customer – the end point in the supply chain; it's dependent on whether they've ultimately received a quality product or service.

According to stakeholder expert Edward Freeman, creating value for stakeholders like customers is a key aspect of building productive relationships with them.

When value creation is built into each stage of the supply chain, the result is known as a 'value chain.' This term was coined by economist Michael Porter, who describes it as a strategy to gain competitive advantage.

Value Chains (cont.)

Building a value chain may involve providing more cost advantages to customers, reacting more quickly to their changing needs and expanding the range of products or services on offer. Value can also be added through effective communication with customers.

For an operational manager like Erica, it may entail rethinking the quality of material she's sourcing, to make it more durable. Or it could involve streamlining the packing process so that her team can ready products faster. We'll look at some methods to encourage such improvements in the next lesson.

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Unexpected Setbacks

However sophisticated the supply chain, and well considered the plan, they will never be completely free from unexpected setbacks.

No approach is foolproof, because there is always a risk that any disruption in the chain could derail the plan once it is implemented. It’s the manager’s job to analyse this risk and find ways to mitigate it.

Managing Risk

Risk is defined as an unexpected event or situation that, if it occurred, would negatively affect at least one plan objective.

While the event may or may not happen, if it did, it could cause a time delay, an increase in cost, or both. For example, an operational plan would be put at risk if a team member suddenly left the company. In this situation, looking for a replacement would create delays and could increase costs.

To manage risk effectively, it needs to be built into the operational planning process.

Managing Risk (cont.)

'Risk management' is the process of identifying, analysing and planning a response to risk. It allows a manager to quickly switch to an alternative arrangement if an element of the supply chain fails or other circumstances change suddenly. It's also sometimes referred to as 'contingency planning,' because it prepares the manager for what may happen down the road.

Every department will have a unique set of risks that it will need to foresee.

For example, the production department at a sandwich maker might identify risks such as staff sickness, packaging shortages, and late produce delivery.

Once the risks have been identified, the next stage is to analyse each one in order to fully understand its nature.

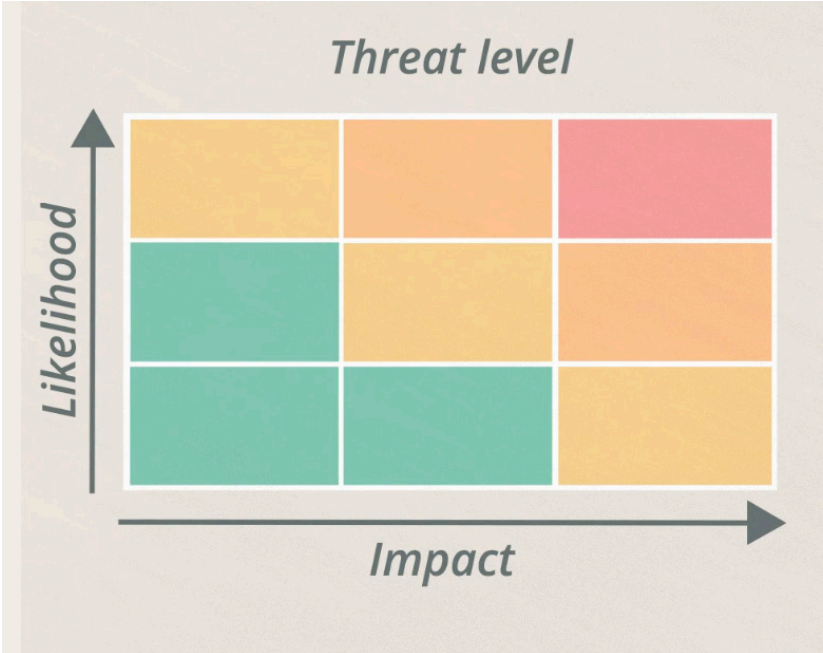
Risk Matrix

One popular tool to accomplish this is known as the 'risk matrix.' It helps to assess risk from two angles:

How likely it is to actually occur, and if it did occur, how great its impact would be.

These criteria form the two dimensions of the matrix.

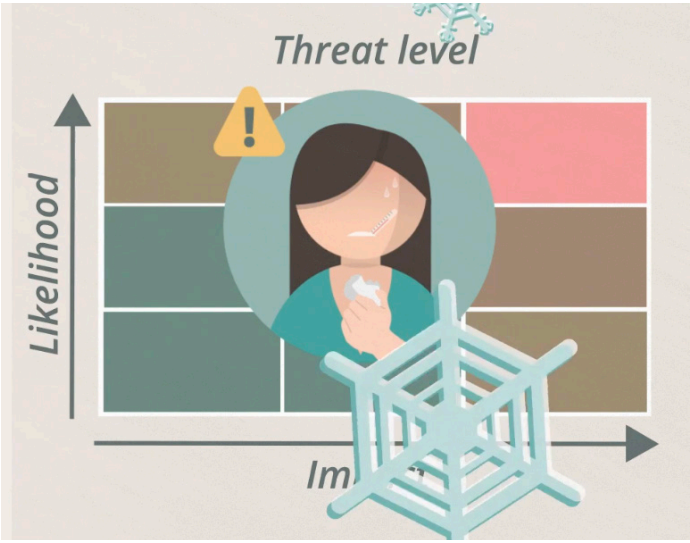
The vertical axis reflects the likelihood of the risk happening, and the horizontal axis reflects its level of impact.



Risk Matrix (cont.)

Using our sandwich-making example, we can position each risk on the matrix according to where it falls on each axis.

So, if it's very likely to occur, and its impact would be severe, it will be located on the upper right hand portion of the matrix. For instance, in the winter the risk of several employees being absent due to sickness is high, and the impact on the production of sandwiches would be significant. So an operational plan for the winter period would place this risk in the upper right hand corner.



Risk Matrix (cont.)

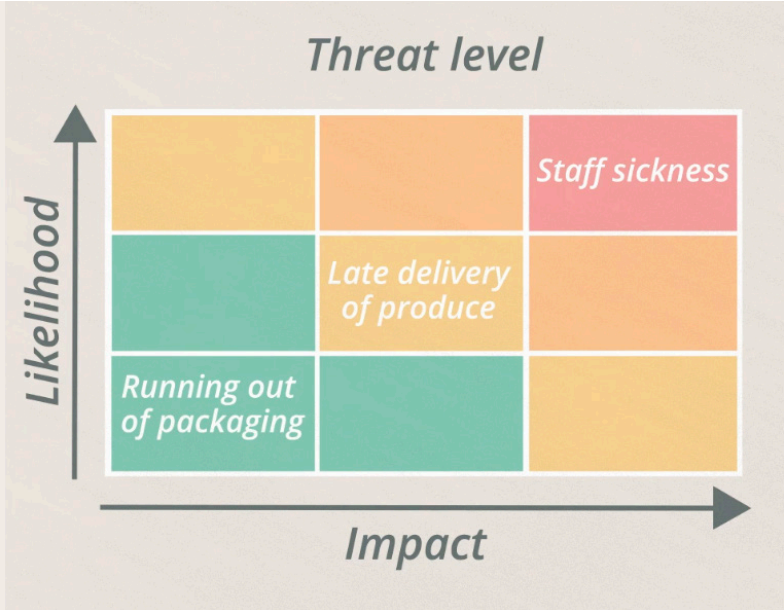
Conversely, a risk which is unlikely to occur, and which would have a relatively low impact, will be placed in the lower left hand area of the matrix.

For the facility in our example, there are ample supplies of packaging in stock, so running out is unlikely. And if the packaging did run out, it would be easy to find an alternative supplier. So the operational manager would put this risk in the bottom left hand corner.

Risk Matrix (cont.)

The remainder of the matrix is occupied by risks that are moderately likely, and would have a medium impact on the plan. These fill the upper left hand, down to the lower right hand corner of the matrix.

For the sandwich maker, this category would include late delivery of produce. If this happened the facility would have to shift the order of production, which would waste time, but the operation could still function.



Planning a Response

For a manager, the priority will be identifying and mitigating the risks in the high likelihood, high impact category. These events may affect business critical operations, without which the department could not function.

To prepare for the worst, managers will need to plan a response that will keep operations intact until the issue can be resolved. For example, the production manager at the sandwich facility may set aside funds to hire extra workers to compensate for absent staff.

Contingency Plans

The goal of risk management is to prevent risk from becoming reality, and if that fails, to restore normal modes of operation with minimal cost and disruption. This may require putting together a separate contingency plan – sometimes known as a plan B – and set up 'alerts' which would trigger the back up plan if conditions change sufficiently.

For example, an alert could be triggered if essential supplies fall below a certain level. This would allow a team to respond to the emergency quickly, minimising downtime.

Recap

In this lesson, you have learned about:

- Introducing analytical tools used to prepare the plan
- Considering where stakeholders fit into the planning process
- How managers prepare for potential obstacles in the plan's implementation